Subject: Marriott International - New Biz - 12/31
Date: Thursday, November 20, 2025 at 8:04:27 AM Central Standard Time
From: Muscat, Angelo
To: Haran, Richard
Attachments: image001.png, image002.png, image003.png, Marriott International Rater 2025.xlsm, 2025 DO Presentation Final.pdf, CoPilot PDF.pdf, Marriott International - Primary D&O Quote ($15 Million) - 2025-2026.pdf, Marriott International Referral 2025.docx

Rick, Good Morning.

Please see the attached new biz referral with Karen Frany at B&B NY. Opportunity is replacing Everest at 10 x 70 ABC for $52,500. Decent premium but could be better for sure.

Waiting on the actual tower, Karen shot me a note asking if we would be interested. The STM is at 22% but I feel that due to attachment and overall history, this one could be a good fit for us. Still waiting on the actual tower in which I can obtain should we have interest.

The only real concern I have is their debt but they have ample liquidity as shown below in the diagram.

We currently write Marriott Vacations, we just extended that policy for a year. No claims.

Not the easiest class of business but definitely one of the better ones in this space. I'd like to participate on this one.

Please know that Marriott International and Marriott Vacations are two separate boards, two separate companies.

Marriott International and Marriott Vacations Worldwide do not have the same board, as Marriott Vacations Worldwide was spun off as a separate, publicly traded company in November 2011. Marriott Vacations Worldwide has its own board of directors, though it maintains a relationship with Marriott International through a licensing agreement, which is separate from the two companies' governing boards, notes this Marriott Vacations Worldwide page.

- **Separate companies**: Marriott Vacations Worldwide was spun off from Marriott International and became a separate, independent public company on November 21, 2011.
- **Independent boards**: Both companies now have their own, separate boards of directors. For example, Marriott Vacations Worldwide lists its own board members, such as William J. Shaw, while Marriott International has its own board to oversee its lodging and franchise business.
- **Licensing agreement**: Marriott Vacations Worldwide licenses the Marriott name and other related trademarks from Marriott International, which is a business relationship separate from their corporate governance. This allows Marriott Vacations Worldwide to operate timeshare programs under brands like Marriott Vacation Club and The Ritz-Carlton Destination Club.

Filing Notes accompanied by notes in the referral attached –

Financial Results

- **Contract sales decreased 4% YoY in the recent quarter, driven by a 5% drop in VPG and 1% fewer tours.**
- **Adjusted EBITDA fell 15% YoY to $170 million; development profit declined $33 million versus prior year.**
- **Total company rental profit dropped $17 million to $21 million, impacted by higher unsold maintenance fees and Interval getaways.**
- **Management and exchange profit rose 12% to $96 million; financing profit increased 5% to $52 million.**
- **Quarter-end leverage was 4.1x with $1.4 billion in liquidity; annualized cost reductions of $20 million implemented.**

Outlook

- **Contract sales are expected to decline 2%-3% for the year, with tours flat to slightly up and VPG down in future periods.**
- **Adjusted EBITDA guidance for the year is now $740 million to $755 million; rental profit expected to decline by about $30 million.**
- **Management exchange profit is forecast at $380 million, financing profit around $210 million, and corporate G&A flat to slightly down.**
- **Adjusted free cash flow is projected at $235 million to $270 million this year, excluding $100 million of one-time modernization costs.**

- **Modernization program is expected to deliver $150–$200 million run rate benefit by end of next year, with $60–$80 million flowing to bottom line in 2026.**

Company Strategy

- **Sales and marketing incentive plans were adjusted to better align with long-term strategic objectives, boosting owner engagement.**
- **Modernization program initiatives include reorganization of HR and Finance functions, yielding $20 million in annual cost savings.**
- **Efforts to curb third-party commercial rental activity are expected to increase owner arrivals and enhance occupancy at key destinations.**
- **Inventory strategy now prioritizes capital-efficient spending and aims for 1.5–2 years of inventory on the balance sheet to free cash.**
- **Talent retention and recruitment were strengthened by competitive compensation and ramped-up sales training across all sites.**

External Factors

- **Contract sales declined due to softer customer demand, especially in Orlando and Maui, with income trends impacting lower-end markets.**
- **Competitors are offsetting industry headwinds via acquisitions, new brands, and upgraded owner offerings, affecting market dynamics.**
- **Higher product costs and unsold maintenance fees, particularly in certain regions, present ongoing market risks and economic headwinds.**
- **Issued $575 million of 6.5% senior notes; leverage stands at 4.1x, showing impact of current interest rate environment on financing strategy.**
- **Rental profit is pressured by lower ADRs and continued struggles in some regional markets, reflecting unfavorable market conditions.**

Products & Services

- **Marriott Bonvoy points were offered to owners for arrivals within a 2-month window at select resorts, driving above-average VPGs.**
- **FICO scoring data was implemented for marketing, targeting improved VPGs and credit metrics on vacation ownership sales.**
- **The new owner experience initiative gives buyers a preplanned vacation, reducing rescissions and boosting the tour pipeline.**
- **Sales centers, including two Sheraton locations in Orlando, increased capture rates to offset lower owner arrivals in key markets.**
- **Efforts to curb third-party commercial rental activity aim to make more inventory available to owners, raising owner arrivals and satisfaction.**

Marriott Vacations Worldwide Reports Third Quarter 2025 Financial Results
Business Wire
Wednesday, November 5, 2025, 4:15:00 PM EST

ORLAND Copy Link USINESS WIRE)-- Marriott Vacations Worldwide Corporation (NYSE: VAC) ("MVW," the "Company," "we" or "our") reported financial results for the third quarter of 2025.

Third Quarter 2025 Highlights

- Consolidated contract sales were $439 million in the quarter.
- Net loss attributable to common stockholders was $2 million and diluted loss per share was $0.07.
- Adjusted net income attributable to common stockholders was $66 million and adjusted diluted earnings per share was $1.69.
- Adjusted EBITDA was $170 million.
- The Company updates its full-year outlook.

Contract sales in the quarter declined 4% compared to the prior year period, driven by a 1% decline in tours and a 5% decline in VPG.

"We are not satisfied with this performance and are taking concrete actions to return to growth, including realigning sales and marketing field incentives to drive strong productivity, curbing third-party commercial rental activity to drive higher owner arrivals and satisfaction, and implementing FICO-based screening to enhance lead quality and drive improved VPGs. We continue to expect a $150 million to $200 million Adjusted EBITDA benefit from our modernization program by the end of 2026," said John Geller, president and chief executive officer.

In the tables below "*" denotes non-GAAP financial measures. Please see "Non-GAAP Financial Measures" for additional information about our reasons for providing these alternative financial measures and limitations on their use.

Vacation Ownership

(In millions, except volume per guest ("VPG") and tours)	Three Months Ended September 30, 2025	Three Months Ended September 30, 2024[1]	Change
Revenues excluding cost reimbursements	$ 748	$ 766	(2%)
Consolidated contract sales	$ 439	$ 459	(4%)
VPG	$ 3,700	$ 3,888	(5%)
Tours	109,609	110,557	(1%)
Segment financial results attributable to common stockholders	$ 138	$ 205	(33%)
Segment margin	18.4%	26.8%	(840 bps)
Segment Adjusted EBITDA*[1]	$ 195	$ 232	(16%)
Segment Adjusted EBITDA margin*[1]	26.1%	30.2%	(410 bps)

[1] Prior year amounts have been reclassified to conform with our current year presentation. Please see "Non-GAAP Financial Measures" for additional information.

Exchange & Third-Party Management

(In millions, except total active Interval International members and average revenue per member)	Three Months Ended September 30, 2025	Three Months Ended September 30, 2024[1]	Change
Revenues excluding cost reimbursements	$ 51	$ 55	(6%)
Total active Interval International members (000's)[2]	1,499	1,545	(3%)
Average revenue per Interval International member	$ 37.91	$ 38.93	(3%)
Segment financial results attributable to common stockholders	$ 15	$ 15	(3%)
Segment margin	28.6%	27.9%	70 bps
Segment Adjusted EBITDA*	$ 21	$ 23	(8%)
Segment Adjusted EBITDA margin*[1]	42.3%	43.3%	(100 bps)

[1] Prior year amounts have been reclassified to conform with our current year presentation. Please see "Non-GAAP Financial Measures" for additional information.

[2] Includes members at the end of each period.

Revenues excluding cost reimbursements and Segment Adjusted EBITDA decreased year-over-year primarily due to lower transactions and Getaway volume at Interval International.

Corporate and Other
General and administrative costs decreased 12% in the third quarter compared to the prior year.

Balance Sheet and Liquidity
The Company ended the quarter with $1,428 million in liquidity. Our liquidity includes $474 million of cash and cash equivalents and $786 million of available capacity under its revolving corporate credit facility. The Company had $4 billion of corporate debt and $2 billion of non-recourse debt related to its securitized vacation ownership notes receivable at the end of the third quarter. During the third quarter, the Company issued $575 million of 6.5% senior notes due 2033 and terminated its Delayed-Draw Term Loan, which was undrawn. The Company intends to use the proceeds from the offering to pay its maturing 2026 Convertible Notes.

The Company also had approximately $1 billion of total inventory at the end of the quarter, including $398 million classified as a component of Property and equipment.

Full Year 2025 Outlook
The Company provides full year 2025 guidance as reflected in the chart below.

(in millions, except per share amounts)	2025 Guidance			Previous 2025 Guidance		
Contract sales	$1,760	to	$1,780	$1,740	to	$1,830
Adjusted EBITDA*	$740	to	$755	$750	to	$780
Adjusted net income attributable to common stockholders*	$262	to	$279	$250	to	$280
Adjusted earnings per share - diluted*	$6.70	to	$7.10	$6.40	to	$7.10
Adjusted free cash flow*	$235	to	$270	$270	to	$330

The guidance provided above excludes impacts from asset sales, foreign currency changes, restructuring costs, litigation charges, strategic modernization initiative costs, transaction and integration costs, and impairments, each of which the Company cannot forecast with sufficient accuracy to factor them into the guidance provided above and without unreasonable efforts, and which may be significant. As a result, the full year 2025 outlook is presented only on a non-GAAP basis and is not reconciled to the most comparable GAAP measures. Where one or more of the currently unavailable items is applicable, some items could be material, individually or in the aggregate, to GAAP reported results.

The Company's 2025 guidance is based on the following supplemental estimates:

($ in millions)	2025 Guidance			Previous 2025 Guidance		
Interest expense, net	$172	to	$170	$175	to	$172
Depreciation and amortization	$150	to	$149	$150	to	$148
Tax rate used to calculate adjusted net income attributable to common stockholders	30%	to	29%	34%	to	33%

Non-GAAP Financial Information

Non-GAAP financial measures are reconciled and adjustments are shown and described in further detail in the Financial Schedules that follow. Please see "Non-GAAP Financial Measures" for additional information about our reasons for providing these alternative financial measures and limitations on their use. In addition to the foregoing non-GAAP financial measures, we present certain key metrics as performance measures which are further described in our most recent Annual Report on Form 10-K, and which may be updated in our periodic filings with the U.S. Securities and Exchange Commission.

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